Northstar Analytics - Employee Handbook

Version 2.1 | Effective January 1, 2026 | Fictional sample company and policies for RAG training only.

1. Company overview

Northstar Analytics is a fictional software and data consulting company headquartered in Austin, Texas. It has 240 employees working across engineering, analytics, customer success, and operations. Core support hours are Monday through Friday, 9:00 AM to 5:00 PM Central Time.

2. Working arrangements

Employees may work remotely up to three days per week with manager approval. New hires must work onsite at least three days per week during their first 60 days. Team collaboration day is Wednesday. International remote work requires written approval from Human Resources and Information Security at least 15 business days before travel.

3. Paid time off

Full-time employees receive 18 days of paid vacation per calendar year. Vacation accrues monthly at 1.5 days per month. Employees may carry over up to 5 unused vacation days into the following year; carried days expire on March 31. Vacation requests of five consecutive business days or more should be submitted at least 20 calendar days in advance.

4. Sick leave and holidays

Full-time employees receive 8 paid sick days annually. Unused sick days do not carry over. Northstar observes 10 company holidays per calendar year. Employees should notify their manager before 10:00 AM local time on the first day of unexpected absence whenever practical.

5. Expenses and reimbursement

Employees must submit reimbursable expenses within 30 calendar days of purchase. Itemized receipts are required for expenses of $25 or more. Managers may approve individual business expenses up to $500; expenses above $500 require Finance approval. Approved claims are normally reimbursed within 10 business days.

6. Travel policy

Domestic flights should be booked at least 14 days before departure where possible. Economy class is the standard for flights shorter than six hours. Hotel reimbursement is capped at $220 per night before taxes unless an exception is preapproved. The meal allowance for approved overnight domestic travel is $65 per day.

7. IT and security

Multi-factor authentication is mandatory for all company systems. Passwords must be at least 14 characters. Lost company devices must be reported to the IT help desk within one hour of discovery. Confidential client data may not be uploaded to public AI services without explicit Information Security approval.

8. Equipment and support

New full-time employees receive a company laptop and a $250 one-time home-office equipment allowance. The IT help desk is available Monday through Friday from 8:00 AM to 6:00 PM Central Time. Priority 1 incidents should be reported by phone to the internal help desk; other issues can be submitted via the support portal.

9. Performance reviews

Formal performance reviews occur twice each year, in June and December. Employees set three to five measurable goals with their managers at the start of each review cycle. Promotion recommendations require at least six months in the current role unless approved by the department director.

10. Learning and development

Each full-time employee has an annual professional-development budget of $1,200. Courses, books, and certification exam fees are eligible with manager approval. Reimbursement for a single learning purchase over $400 also requires department director approval.

11. Contacts and escalation

For payroll or leave questions, contact hr@northstar-example.com. For expenses, contact finance@northstar-example.com. For security concerns, contact security@northstar-example.com. These addresses are fictional and do not represent active company support channels.

RAG Retrieval Practice Questions

Try asking these questions after loading this PDF into your vector database. Use the handbook as the only source and return a citation or section name.

1. How many vacation days do full-time employees receive each year?

2. What is the maximum vacation carryover, and when does it expire?

3. Can a new hire work remotely four days per week in their first month?

4. How much advance notice is required for international remote work?

5. What receipt threshold applies to expense claims?

6. Who approves a $700 business expense?

7. What is the domestic hotel cap per night?

8. What should I do if my laptop is stolen?

9. How much can I spend annually on training?

10. When do performance reviews happen?

11. What is the deadline for reporting an unexpected absence?

12. Does the company offer unlimited vacation? (Answer should be no.)

13. What is the CEO's name? (Answer should be not specified in the document.)

Suggested RAG exercise

1. Extract PDF text. 2. Split into chunks of about 400-700 characters with 80-120 characters overlap. 3. Create embeddings. 4. Store them in Chroma or another vector database. 5. Retrieve the top 3 relevant chunks. 6. Ask an LLM to answer only from retrieved context and cite section headings. 7. Test questions with no answer in the source.